PERFORMANCE BOND

Dear Sirs,

We, _____ hereby issue this irrevocable letter of guarantee in your favour for the account of _____ _____ (hereinafter called "CONTRACTOR") for amounts upto Rs. _____ (Rupees _____ _____ only) being equal to _____ of the Contract Price payable under the _____ Contract made on _____ 2019 between you and _____ _____ and for Construction of _____ _____.

We hereby unconditionally and irrevocably guarantee to pay the amount or amounts upto, but not exceeding in the aggregate, the above mentioned amount or the amount currently outstanding after the reduction in accordance with the preceding paragraph upon your written demand based on your absolute judgment, stating that CONTRACTOR has not fulfilled his obligation under the Contract.

This guarantee shall become effective within fifteen (15) days after the letter of acceptance and remain valid for 12 months after the completion date of the Work or until its amount has been paid, whichever comes earlier.

This guarantee shall become null and void upon the said expiry date or when a sum or sums paid by us to you shall have equalled in aggregate the total amount of this guarantee, whichever comes earlier.

This guarantee shall not be assigned or transferred without our prior written consent.

This guarantee shall be governed by, and construed in accordance with, the laws of India.

This letter of guarantee is to be returned to us immediately upon its expiry.

NAME OF BANK

AUTHORIZED SIGNATURE